

HDFC Bank Ltd

HDFCBANK

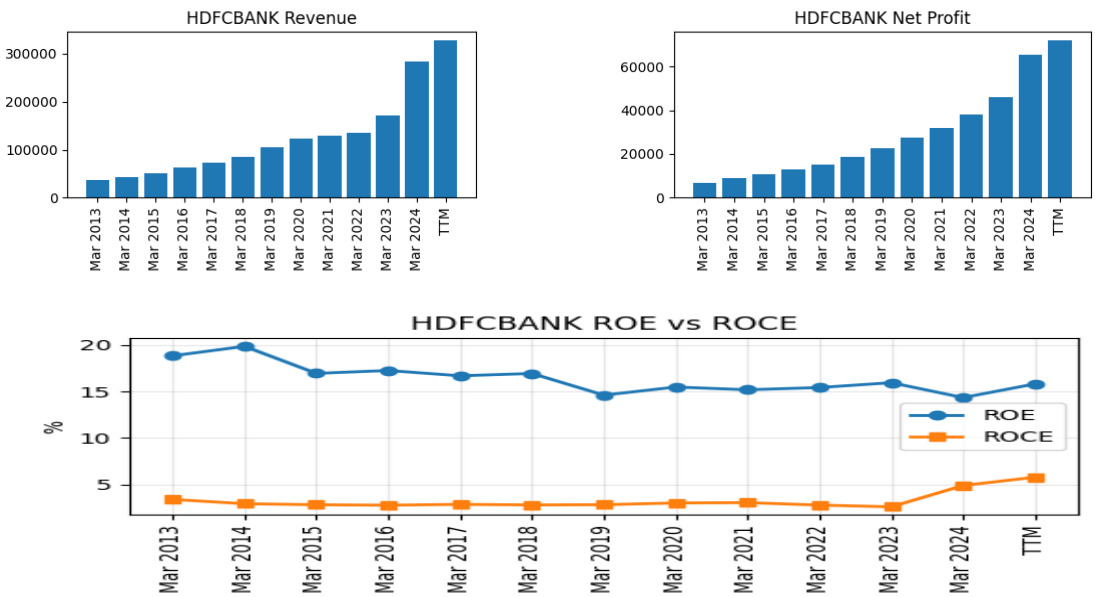
Key Financial Metrics

ROE 15.81%	ROCE 5.78%	Debt / Equity 6.81
Revenue CAGR 20.68%	FCF Conversion 29.14%	Quality Score 53.67

Company Profile

Company	HDFC Bank Ltd
Sector	Financials
Industry	Private Banks
Market Cap (■ Cr)	808,359.03
P/E Ratio	49.42
P/B Ratio	4.40
Dividend Yield	4.33%

Financial Performance



AI Investment Summary

HDFC Bank Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has healthy profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 53.7/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Net profit compounding at above 20% over 5 years creates significant shareholder value.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Low interest coverage indicates potential difficulty servicing debt if earnings fall.

Investment Recommendation

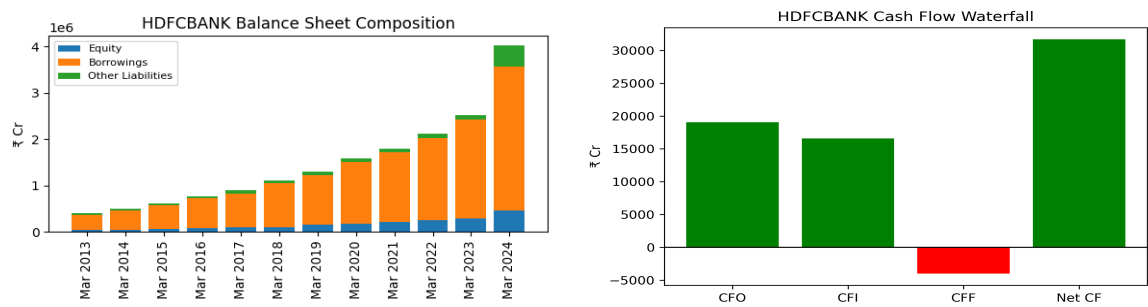
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 53.7/100, supported by 4 identified strengths, 3 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 53.7

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
---------------	----------

Growth	Strong
Cash Flow	Weak
Leverage	Weak
Valuation	Expensive

Capital Allocation

Liquidating Assets